

FRANCHISE DISCLOSURE DOCUMENT

(Master Pan-Canadian Template)

Franchisor: Y2C Holdings Inc. (주식회사 와이투씨홀딩스)

Corporate Address: Gwang-an Daewoo I-Vill, 39 Gwang-an-ro 62beon-gil, Suyeong-gu, Busan, Republic of Korea

Date of Issuance: _____

Target Jurisdiction: Province of _____, Canada

RISK WARNING / NOTICE TO PROSPECTIVE FRANCHISEES

A commercial franchise is a business investment. A franchise agreement is a legally binding contract that may pose significant financial risks.

Before you sign a franchise agreement or pay any money, you should carefully read this Franchise Disclosure Document (FDD). You are strongly advised to seek independent legal and financial advice.

Under applicable Canadian provincial franchise legislation (including, where applicable, the Franchises Act of British Columbia, Alberta, Manitoba, New Brunswick, and Prince Edward Island, and the Arthur Wishart Act of Ontario), Y2C Holdings Inc. must provide you with this document at least **14 days** before you sign any contract or pay any consideration to the franchisor or its affiliates.

Item 1. The Franchisor

The Franchisor is Y2C Holdings Inc., a corporation established under the laws of the Republic of Korea ("Franchisor", "we", "us", or "our"). We operate directly from South Korea without a local Canadian subsidiary or branch. We have been granted the Master Franchise Rights by Sinjeon Food Sys (the proprietary trademark owner in Korea) to establish, operate, and grant sub-franchises for "Sinjeon Tteok-bokki" restaurants across Canada.

Item 2. Business Experience of Directors and Officers

Yoon-ji Lee, Director: Ms. Lee oversees global franchise expansion and operations. She brings extensive professional experience in global Supply Chain Management (SCM) and North American business operations. Her expertise ensures that overseas franchisees receive robust logistical support, optimal ingredient sourcing, and localized operational strategies.

Item 3. Litigation and Bankruptcy

Neither Y2C Holdings Inc. nor any of its directors or officers are currently involved in any material litigation, arbitration, administrative, or bankruptcy proceedings in Canada, the Republic of Korea, or any other international jurisdiction.

Item 4. Initial Franchise Fee and Initial Investment

The Franchisee is required to pay the following initial fees directly to the Franchisor via international wire transfer:

- **Initial Franchise Fee:** KRW 40,000,000 (Non-refundable except in the case of Franchisor's material breach).
- **Initial Education Fee:** KRW 5,000,000 (Non-refundable).
- **Logistics Security Deposit:** CAD \$5,000 to \$20,000 (Refundable). Depending on the designated regional supply chain structure, this deposit will be collected directly by the Franchisor or requested by an authorized local B2B logistics distributor. It is fully refundable upon expiration or termination of the agreement, subject to deductions for unpaid debts.

[Gross-up / Net Payment Clause]: All payments must be made free and clear of, and without deduction or withholding for, any taxes, bank charges, or currency exchange variations. If Canadian tax law mandates any withholding (such as Part XIII tax), the Franchisee shall gross up the payment to ensure the Franchisor receives the exact Net KRW amount stated above.

**Note: Estimated local store build-out, leasehold improvements, and equipment ranges (CAD \$30,000 - \$80,000+) are attached as Exhibit A.*

Item 5. Ongoing Fees (Management Services Fee)

Monthly Management & Support Fee: 4% of Monthly Gross Sales.

This fee represents compensation for ongoing, remote management advisory, IT, and operational support services rendered directly from South Korea, and does NOT constitute a passive trademark royalty. Services include:

- Global franchise operational consulting and continuous SCM optimization.
- North American menu adaptation, recipe R&D, and local ingredient sourcing.
- Remote POS, electronic systems support, and marketing asset provisioning.

**The Absolute Net Payment / Gross-up Clause specified in Item 4 applies fully to all ongoing Management & Support Fees.*

Item 6. Exclusive Territory

The Franchisee is granted an exclusive geographic territory of a _____ radius from the specific "Approved Location" designated in the Franchise Agreement. The Franchisor shall not operate or license any third party to operate a Sinjeon Tteok-bokki outlet within this defined perimeter during the term of the agreement.

Item 7. Obligation to Purchase

To preserve brand uniformity and quality standards, the Franchisee is contractually required to procure designated proprietary ingredients and supplies exclusively through the Franchisor or its officially appointed supply channels. Mandatory purchase items include, but are not limited to: Frozen Wheat Flour Cake, Seasoning Powders (Original/Spicy), and Various Frozen Fried Items & Corn Dogs. Complete supplier lists and standards are provided in the Operations Manual.

Item 8. Term, Renewal, and Dispute Resolution (KCAB Arbitration)

- **Term:** Three (3) years from the effective date.
- **Renewal:** Non-automatic. Eligible for renewal with a potential 20% discount on the prevailing initial franchise fee.
- **Governing Law & Dispute Resolution:** This Agreement is governed by the laws of the Republic of Korea. All disputes arising out of or in connection with this Agreement shall be finally settled by binding arbitration in Seoul, Republic of Korea, administered by the **Korean Commercial Arbitration Board (KCAB)** in accordance with its International Arbitration Rules. The prevailing party is entitled to recover reasonable legal fees and arbitration expenses. The award is legally binding and enforceable in Canada.

Item 9. Financial Information

Summary of the Franchisor's financial position for the fiscal year ended December 31, 2025 (in KRW):

- **Total Assets:** KRW 297,931,073 | **Total Liabilities:** KRW 206,083,177
- **Total Equity:** KRW 91,847,896 | **Net Income:** KRW 5,914,229

[Drafting Note: Complete Financial Statements are attached hereto as Exhibit B].

CERTIFICATE OF FRANCHISOR

I certify that the information contained in this Franchise Disclosure Document constitutes full, true, and plain disclosure of all material facts as required under applicable Canadian franchise principles. To the best of my knowledge, it contains no untrue statement of a material fact and omits no material fact required to make the statements made not misleading.

Date of Certification:

Y2C Holdings Inc.

By: Yoon-ji Lee | Title: Director

RECEIPT OF FRANCHISE DISCLOSURE DOCUMENT

The undersigned prospective franchisee hereby acknowledges receipt of this Franchise Disclosure Document on the date indicated below. The undersigned understands that the Franchisor is legally prohibited from accepting any consideration or executing any binding agreement until at least **fourteen (14) calendar days** have elapsed following this receipt.

Date of Receipt:

Franchisee Entity:

Authorized Signatory: _____

Title: _____